

2025 - 2026 Application Handbook
Community Development Block Grant Program



**ALL APPLICATION SUBMISSIONS MUST BE RECEIVED BY
DECEMBER 12, 2024 AT 5:00 PM**

This information has been prepared to assist you in ensuring you meet the various submission and program requirements to apply for 2025-2026 Community Development Block Grant (CDBG) funding. Note that this is a general overview of the application process and applicable requirements and is for informational purposes only. It is not intended to be a full disclosure of all applicable federal, state and/or local rules, regulations, procedures and/or reporting requirements.

2025-2026 Funding

As of the publication of this document, the City of Huntington Beach has not yet been advised of the estimated funding allocation for 2025-2026. We anticipate that funding will be similar to the 2024-2025 allocation of \$1,121,195 in CDBG funds. The City will not consider any grant requests below \$10,000 per year. Note that the U.S. Department of Housing and Urban Development (HUD) regulations limit the City to utilizing only up to 15 percent of its total annual allocation for projects in the public service category. Therefore, approximately \$168,179 will be available as part of the 2025-2026 CDBG application.

Applicant Acknowledgements

By signing the “APPLICATION CERTIFICATION” on Page 1 of the 2025-2026 CDBG Notice of Funding Availability Application (“NOFA Application”), the applicant acknowledges the following:

1. That, by submission of the NOFA Application, the applicant agrees that it will become a public document.
2. That, to the best of its knowledge and belief, all information provided is true and correct and all estimates in the NOFA Application are reasonable.
3. That no revised proposals/applications may be made in connection with the NOFA Application once the deadline for applications has passed.
4. That the City of Huntington Beach may request or require changes in the information submitted that it deems reasonable for any and all information provided.
5. That the applicant will cooperatively assist in the application review process.
6. That, if the proposed applicant program is recommended and approved by the City Council, the City reserves the right to fund less than the full amount requested. The City also reserves the right to reduce and/or cancel allocation if federal entitlements are cancelled, reduced, or rescinded.
7. That the City of Huntington Beach reserves the right not to fund any submittals received.
8. By submission of the NOFA Application, the applicant agrees to abide by the federal regulations applicable to this program.
9. That past program and financial performance will be considered in reviewing the NOFA Application.
10. That services are to be provided only to eligible Huntington Beach residents at no cost during the grant period.
11. That, if the proposed applicant program is funded, the City or a designated agency may conduct an accounting system inspection to review internal controls, including procurement and uniform administrative procedures, prior to issuance of payments for program expenditures.
12. That, if the proposed applicant program is funded, the City will perform an environmental review prior to the obligation of funds.

13. That, if the proposed applicant program is funded, a written agreement (Subrecipient Agreement) will be required that includes, among other matters, a statement of work, records retention and reporting, local and federal requirements, and circumstances that would trigger grant suspensions and terminations.
14. That a program's funding does not guarantee its continuation in subsequent program years.
15. That proof of insurance (general comprehensive public liability insurance with a company licensed to do business in California, and in the aggregate naming the City, its employees and agents as additional insured) will be submitted to the City prior to receiving funds.
16. That written signature authority from the applicant's governing body indicating who can execute contracts and amendments on its behalf will be submitted to the City prior to receiving funds.
17. That the applicant agrees to abide by the City of Huntington Beach's Conflict of Interest Policy. Items of concern would include Board of Directors or staff members families having a monetary interest in any contract made by the City, and other matters that may give the appearance of a conflict of interest

Applicant Eligibility

Eligible agencies are limited to nonprofit organizations and City departments. Each proposed CDBG project must:

- (1) Target one or more of the eligible community needs of creating/rehabilitating affordable housing, providing public services, developing or improving public facilities and/or infrastructure, code enforcement, and/or economic development.
- (2) Be an eligible activity consistent with the provisions of HUD Title 24 CFR 570, Subpart C;
- (3) Demonstrate compliance with the CDBG National Objective of providing benefit to Low and Moderate Income persons;
- (4) Provide assistance and services to City of Huntington Beach residents only; and
- (5) Have the financial capacity to immediately carry out and complete the project activity per the following 2025-2026 schedule: Begin July 1, 2025 and complete by June 30, 2026.

Eligible Activities

The following activities may be eligible for CDBG funding:

Child Care	Health Care Services
Youth Services	Public Safety Services
Services for Senior Citizens	Fair Housing Activities
Crime Prevention	Public Facility Acquisition/Upgrades
Educational Programs	Recreational Activities
Food Pantries	Drug Abuse Counseling and Treatment

Ineligible Activities

The following are ineligible for funding:

- Those activities not meeting a CDBG National Objective or a Priority Needs and goals of the City of Huntington Beach 2025-2029 Consolidated Plan;

- Acquisition, construction or reconstruction of buildings for the general conduct of government;
- Political or religious activities; and
- Construction of new housing.

National Objectives

Eligible projects must meet one of the following required CDBG National Objectives:

- (1) Benefit Low to Moderate Income (LMI) Persons – those persons whose household income is equal to or less than 80% of the area median family gross income, adjusted to family size in Orange County as defined by HUD. Most public services and facilities projects funded by Huntington Beach are in the LMI category. A link to current income limits is located here: <http://www.huntingtonbeachca.gov/CDBG>
- (2) Prevent/Eliminate Slum/Blight – Addresses slum or blight conditions. Housing rehabilitation and Code Enforcement typically fall into this category.
- (3) Meet an Urgent Need – This objective is for communities having a particular urgent need as a result of disaster or other community threat to health and welfare and other financial resources are not available to address the need. *Note that the City of Huntington Beach has no identified “urgent needs.” Therefore, applications submitted with this National Objective are ineligible.*

Service Beneficiaries

Public Service Projects

Public service projects provide social services or other direct services to households or individuals living in the City of Huntington Beach. Public service projects must demonstrate that the project benefits LMI persons through one of the following methods:

- (1) Low to Moderate Income Individuals: Agencies must collect a beneficiary application, proof of residence, identification, household income verifications, and demographic information for each applicant.
- (2) Limited Clientele Activities: These activities will benefit a limited clientele who is presumed to be low to moderate income. HUD presumed clientele categories include: elderly persons aged 62 and older; homeless persons; migrant farm workers; persons living with HIV/AIDS; battered spouses; abused children; severely disabled adults; illiterate persons (includes non-English speakers).

- (6) Area Benefit Activities: The activity will benefit all residents in the CDBG-eligible Census Tracts, where at least 51% of the residents are LMI persons and which is primarily residential in nature. CDBG regulations require documentation of area boundaries served. Maps and a list of eligible census tracts may be found at <http://www.huntingtonbeachca.gov/CDBG>

Community and Economic Development Projects

These primarily include general business/organization support and direct homeownership assistance programs. Direct cash payments to individual clients are not an eligible project activity.

- (1) Job Creation or Retention Activities: An activity designed to create or retain permanent jobs, where at least 51% of the jobs, computed on a full-time equivalent basis, involve the employment or low-to-moderate income persons. CDBG regulations require the Subrecipient to document one of the following:
- a. For an activity that creates jobs, the Subrecipient must document that at least 51% of the jobs will be held by, or will be available to, low to moderate income persons, and
 - b. For an activity that retains jobs, the Subrecipient must document that the jobs would have been lost without CDBG assistance and that either both:
 - i. The job is known to be held by a low to moderate income person or the job can reasonably be expected to turn over within the following two years; and
 - ii. Steps will be taken to ensure it will be filled by, or made available to a low or moderate-income person upon turnover.
- (2) Housing Activities: An activity carried out for the purpose of providing or improving permanent residential structures which, upon completion, shall be occupied by 51% low to moderate-income households. CDBG regulations require the Subrecipient to document the number of households served, number of units completed, and demographics and income level of the household occupying the unit.
- (3) Capital Improvement Projects (May only be requested by City departments): These generally refer to projects that would result in improvements to public facilities, infrastructure and other eligible improvements. Funding for improvements to City-owned facilities, water/sewer improvements, street improvements and other public right-of-way improvements may only be requested by City departments.

Please see the next page for information on preparation and submission of your application. Your cooperation in following these requirements is appreciated.

Application Preparation and Submission

Applications must be received in the Community Enhancement Division (part of the Community Development Department) by 5:00 PM on Thursday, December 12, 2024. Submittals may be hand-delivered to the address listed on the NOFA application or sent via US Mail. Please consider the deadline. No extensions will be granted and postmarks will not be accepted.

The submission must be unbound. Do not include tabs, use binders, folders or similar products to submit the application and supporting documentation. Do not staple any application sections and/or supporting documentation. Instead, use paper clips and/or binder clips to separate application and other documents from one another.

The submittal must include:

- (1) One (1) original CDBG application with wet signature and 10 copies
 - a. Applications must be double sided. Attachments should be limited and, if at all possible, double sided.
 - b. For applicable organizations, a copy of the Federal a State Tax Exemption Determination Letter/Nonprofit Certification is required.
 - c. Copies of maps and/or additional intake documentation as required by the application.
- (2) **Optional:** you may include up to three, one-page 8 ½" x 11" additional exhibits that support the application materials.
- (3) **Important:** On April 4, 2022, the federal government stopped using the DUNS Number to uniquely identify entities. Now, entities doing business with the federal government use the Unique Entity ID created in SAM.gov. Entities no longer have to go to a third-party website to obtain their identifier. This transition allows the government to streamline the entity identification and validation process, making it easier and less burdensome for entities to do business with the federal government.
 - a. The Integrated Award Environment (IAE) manages several systems including SAM.gov, FPDS, eSRS, FSRs, CPARS and FAPIIS. All SAM.gov registrants have been assigned their Unique Entity IDs and can view them in SAM.gov.
 - b. If your entity is registered in SAM.gov today, your Unique Entity ID has already been assigned and is viewable in SAM.gov. This includes inactive registrations. The Unique Entity ID is located on your entity registration record. Remember, you must be signed in to your SAM.gov account to view entity records. To learn how to view your Unique Entity ID [go to this help article](#).
 - c. Refer to the [Guide to Getting a Unique Entity ID](#) if you want to get a Unique Entity ID for your organization without having to complete an entity registration. If you only conduct certain types of transactions, such as reporting as a sub-awardee, you may not need to complete an entity registration. Your entity may only need a Unique Entity ID.
 - d. If you operate a system that connects with IAE systems, documentation about using APIs to access SAM.gov is found at is [open.GSA.gov](#). The latest version of FPDS ATOM feed includes the Unique Entity ID.

When preparing your application, please be sure to read and answer all questions fully and keep answers informative, yet concise. Please do not modify the structure of the application. You should be able to respond to most, if not all, questions in the space provided. However, should you require additional space to complete your response to a question, you may submit an additional page and may include multiple responses on that page if marked accordingly.

Review and Evaluation

City staff will review all applications to evaluate completeness and eligibility. Packages submitted after the deadline will be deemed ineligible and will not be reviewed. Those eligible for review will be deemed as qualified or not qualified, or, if undetermined, the applicant may be contacted to provide additional information within a specific timeframe or the project may be deemed ineligible.

All applicants eligible for funding will be scheduled to make a short (approximately 5-7 minutes) oral presentation before the Citizens Participation Advisory Board (CPAB) and will be notified in writing at least 30 days in advance of their scheduled date and time. Following conclusion of all oral presentations, CPAB will openly deliberate their funding recommendations, which will be presented at a Joint Study Session with City Council in March 2025. Staff will notify all applicants as to CPAB recommendations prior to the Study Session. Recommendations, which may include modifications approved by the City Council, will be taken to the full Council at a public hearing in April or May 2025 as part of the City's Draft 2025-2026 Action Plan. Once approved, the Draft 2025-2026 Action Plan will be submitted to HUD for final approval. Projects approved will begin on July 1, 2025 and subrecipients will be required to enter into an Agreement for Funding or Memorandum of Understanding. Note that any premature commitment or expenditure of funds prior to that date is prohibited and will not be reimbursed

Questions

Staff will answer questions and provide technical assistance on preparation of the application. Please contact Gregory Hoang, Sr. Housing Analyst at (714) 536-5473 or Gregory.Hoang@surfcity-hb.org; or Charles Kovac, Housing Manager, in the Community Enhancement Division at (714) 374-5316 or Charles.Kovac@surfcity-hb.org